IN THE HIGH COURT OF JUSTICE
BUSINESS AND PROPERTY COURTS OF ENGLAND AND WALES
TECHNOLOGY AND CONSTRUCTION COURT (KBD)

Claim No. **HT-2025-000612**

B E T W E E N:

HALSTEAD AEROSPACE LIMITED
(company number 02781149)

Claimant

- and -

FERNCLIFFE ALLOYS LIMITED
(company number 03914822)

Defendant

PARTICULARS OF CLAIM

A. THE PARTIES

1. The Claimant, Halstead Aerospace Limited ("Halstead"), is a company incorporated in England and Wales which carries on business as a Tier-1 aerospace manufacturer of composite and machined airframe structures, with its principal place of business at Sentinel House, Aztec West, Bristol BS32 4SY.

2. The Defendant, Ferncliffe Alloys Limited ("Ferncliffe"), is a company incorporated in England and Wales which carries on business as a stockholder and supplier of stainless, special-steel and titanium bar stock, with its registered office at Brearley Works, Tinsley Park Road, Sheffield S9 5DA.

B. THE CONTRACT

3. By a written agreement dated 14 November 2023 (the "Supply Agreement"), Ferncliffe agreed to supply, and Halstead agreed to purchase, titanium alloy bar stock to grade Ti-6Al-4V (AMS 4928 / Grade 5) on a call-off basis for use in the manufacture by Halstead of machined airframe components.

4. The Supply Agreement incorporated Halstead's standard material specification HAS-MAT-114 (revision C) and was subject to the laws of England and Wales.

5. It was an express term of the Supply Agreement (clause 8.1) that all goods supplied would conform in all respects to the specification and to AMS 4928. It was further an express term (clause 8.2) that the goods would be of satisfactory quality and fit for the purpose made known to Ferncliffe, namely the manufacture of safety-critical machined aerospace fittings. It was a further express term (clause 8.3) that each consignment would be accompanied by a valid and accurate certificate of conformity and mill test certificate stating the chemical composition and mechanical properties of the heat supplied.

6. Further or alternatively, there were implied into the Supply Agreement the terms set out in sections 13 and 14 of the Sale of Goods Act 1979, namely that the goods would correspond with their description, be of satisfactory quality and be reasonably fit for the purpose for which they were supplied, that purpose having been made known to Ferncliffe.

C. THE ORDER AND DELIVERY

7. By purchase order HAL-PO-44119 dated 9 January 2024, Halstead ordered 4,280 kg of Ti-6Al-4V bar against the Supply Agreement.

8. On 2 February 2024 Ferncliffe delivered bar drawn from two heats, numbered FA-7733 and FA-7741 (together the "Affected Material"), accompanied by certificates of conformity and mill certificates which asserted that the Affected Material conformed in all respects to AMS 4928 and to HAS-MAT-114.

D. THE NON-CONFORMITY

9. In breach of the express and implied terms set out above, the Affected Material did not conform to the Supply Agreement. In particular:

   (a) the aluminium content of heat FA-7741 fell below the minimum permitted by AMS 4928, and the interstitial oxygen content of both heats exceeded the maximum permitted, such that the certified chemistry did not reflect the true composition of the heats;

   (b) both heats exhibited an excessive surface alpha-case layer and localised beta-flecks, contrary to the microstructural acceptance criteria of HAS-MAT-114, rendering the Affected Material unsuitable for safety-critical machined components;

   (c) in consequence, the certificates of conformity and mill certificates supplied with the Affected Material were inaccurate and did not reflect its true condition.

10. The non-conformities were latent and were not reasonably discoverable by Halstead until the Affected Material had been received and subjected to incoming and in-process testing. The matters set out at paragraph 11 were confirmed by independent metallurgical testing carried out by Argent Metallurgical Services and recorded in report AMS-TR-0412 dated 5 April 2024, and by Halstead's non-conformance report QN-2024-0337.

E. CAUSATION AND LOSS

11. By reason of the non-conformity, by the time the defects were confirmed Halstead had committed 312 wing-rib fittings to machining from the Affected Material. Those fittings could not be certified for flight and were scrapped. Halstead was required to procure replacement bar on an expedited basis from an alternative supplier, Northvale Metals, at a price premium over the contract price; to halt production on the CM-7 cell at Bay 4 for a period of 14 working days; and to carry out investigation, testing, re-inspection and screening. In acting as aforesaid the Claimant acted reasonably and took all reasonable steps to mitigate its loss, in particular by expediting replacement material so as to limit both the duration of the line-stop and its own exposure to liquidated damages on the CM-7 programme.

12. As a direct and foreseeable consequence of Ferncliffe's breaches, Halstead has suffered loss and damage, particulars of which are set out in the Schedule of Loss served with these Particulars of Claim and summarised as follows:

Head of loss	Amount (£)

1. Scrapped wing-rib fittings — machining/conversion value	1,425,840
2. Scrapped non-conforming raw bar (Heats FA-7733/FA-7741)	413,020
3. Expedited replacement bar — price premium	178,220
4. Line-stop / fixed-overhead under-recovery (Bay 4)	301,000
5. Liquidated-damages exposure — late CM-7 deliveries	412,000
6. Metallurgical testing & failure investigation	84,600
7. Re-inspection & 100% lot screening	47,350
8. Internal management & engineering time	36,800
9. Expedited inbound freight & customs	18,240
Sub-total — direct losses	**2,917,070**

13. The full particulars of each head of loss, together with the underlying calculations and cross-references to the contemporaneous documents, are set out in the Schedule of Loss, which the Claimant repeats and relies upon as if set out in full.

F. INTEREST

14. The Claimant claims interest on such sums as may be found due pursuant to section 35A of the Senior Courts Act 1981, at such rate and for such period as the Court thinks fit. For the purpose of these Particulars the Claimant claims interest at ~~4~~5 per cent per annum from 30 September 2024 to the date hereof, amounting to ~~£52,747~~£65,934, and continuing at a daily rate of ~~£319.68~~£399.60 until judgment or sooner payment.

AND the Claimant claims:

1. Damages in the sum of £2,917,070, alternatively damages to be assessed;
2. Interest pursuant to section 35A of the Senior Courts Act 1981 as set out above;
3. Costs; and
4. Further or other relief.

STATEMENT OF TRUTH

The Claimant believes that the facts stated in these Particulars of Claim are true. The Claimant understands that proceedings for contempt of court may be brought against anyone who makes, or causes to be made, a false statement in a document verified by a statement of truth without an honest belief in its truth.

Signed: ..... Dated: 11 March 2025

Sarah Whitfield, Partner, Whitfield Carter LLP, solicitors for the Claimant